

Be More
at Bain



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Case part 2 submission

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CASE STUDY SUMMARY & PROBLEM

Strategic Framing: Situation, Complications, Questions, and Recommended Answers

SITUATION

1

PulseX (\$107.5M approved) enters India as priority market with hybrid GTM (D2C + retail + gym). Now moves into execution phase with board-level accountability.

2

500K device demand projected for Y1. Multi-sport watches dominate Indian wearable market. Recovery devices (Ring) show high subscription attachment rates in analogous markets.

3

AI-first brand positioning approved. PulseAI is PulseX's defensible differentiator. No predictive AI ecosystem leader currently exists in the Indian wearables market.

COMPLICATIONS

Board capped Y1 investment at \$12M - lower than the proposed \$15M+. Requires sharply prioritised, commercially grounded plan with clear ROI logic.

Ring standalone conversion is inconsistent without guided use cases or onboarding. Retail onboarding costs are disproportionately high for Y1 at sub-scale volumes.

DPDP Act data localisation requires dedicated compliance investment. AI model must be retrained on India-specific health data before it delivers meaningful personalisation.

QUESTION

Q1: Which product(s) should PulseX lead with in India to maximise volume, LTV, and brand reach within Y1 budget?

Q2: How should the \$12M Y1 budget be allocated across retail, digital, AI/compliance, manufacturing, and ecosystem bets?

Additional: How does device + PulseAI integration build a defensible data moat and competitive barrier over 2–3 years?

ANSWER

★ INDIA Y1

Watch-led (70% vol, ~350K units) + Ring as subscription engine (24%, ~120K). Defer Chest Band to Y2. 3-month PulseAI trial bundled with Watch D2C.

★ BUDGET MIX

Digital \$3M (25%) · AI/Compliance \$2.8M (23%) · Retail \$2.5M (21%) · Ecosystem \$2M (17%) · Mfg \$1.7M (14%). Digital + AI = 48% — core defensibility.

★ DATA MOAT

Y1: seed longitudinal data → Y2: cross-device AI features (Watch+Ring) → Y3: enterprise B2B API moat. Switching cost = lost personalisation history & health insights

INDIA MARKET OVERVIEW & PRODUCT ECOSYSTEM

Market dynamics, competitive landscape, and PulseX product portfolio for India entry

INDIAN MARKET DYNAMICS

-5%

ASP vs. North America
(India price adjustment)

\$40

CAC Per User
(case benchmark)

\$3M

Market Setup Cost
(Y1 entry investment)

500K

Y1 Device Demand
(PulseX projection)

Key Takeaway: India digital health readiness score: **0.72** (2nd globally) · Urban TAM: **15–20M** health-conscious consumers · No predictive AI ecosystem leader exists in market.

Ecosystem Stickiness: Unlike standalone wearables, the PulseAI subscription creates a high switching cost, moving the business model from "one-time hardware sale" to "recurring high-margin revenue."

COMPETITIVE LANDSCAPE

Fire-Boltt / boAt / Noise

Price-led mass market dominance. Wide distribution. No AI/predictive differentiation. Vulnerable to premium migration.

Fitbit / Whoop

Consumer fitness tracking, strong health data. Google ecosystem integration. Weak India distribution and AI localization.

Ultrahuman ★ Closest

Sleep + metabolic insights. Premium niche. Closest competitor to Ring. No cross-device intelligence or ecosystem breadth.

Apple / Samsung / OnePlus

Ecosystem wearables, large installed base. Superior brand recognition. Limited health depth; no preventive AI positioning.

PRODUCT ECOSYSTEM

Watch

Volume anchor · D2C + retail · Brand awareness driver · 350K Y1 target · Multi-sport use cases · First-time buyer gateway

Ring ★

\$158 ASP | \$68 GP | 43% GM

Subscription engine · Highest PulseAI attach rate (55–65%) · Gym-guided onboarding solves standalone conversion gap

Chest Band

Defer to Y2 · Niche TAM only · No guided onboarding ecosystem in Y1 · Best as Y2 gym bundle add-on · 30K exploratory only

PulseAI

\$112/yr | \$84 GP/sub | 75% GM

Core defensibility · 'Predict, not track' positioning · DPDP-compliant India retraining · 200K Y1 subs target · Data moat foundation

Market gap: No predictive AI ecosystem leader in India → PulseX opportunity to own the 'Predict, not track' positioning

Q1 —PRODUCT MIX: WHICH PRODUCTS TO LEAD WITH IN INDIA

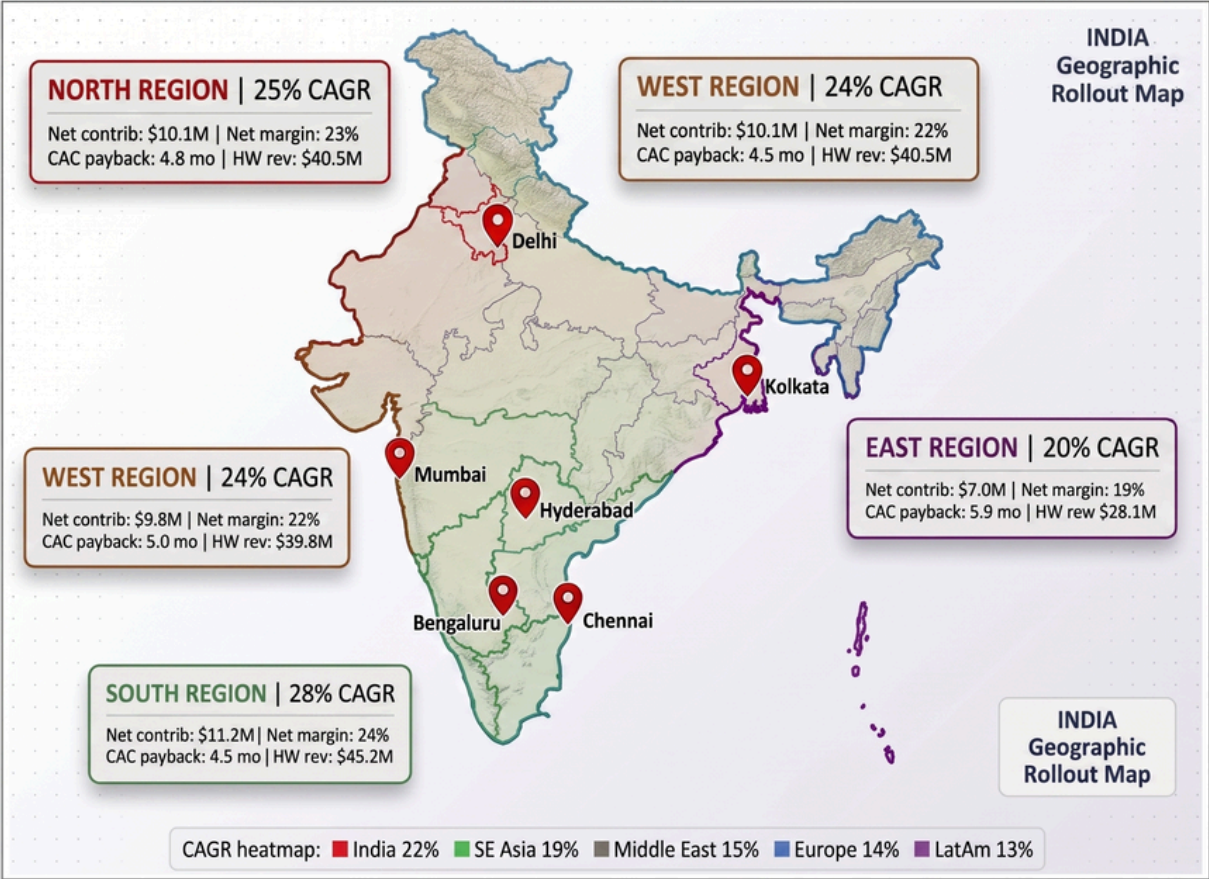
Recommendation: Watch as volume anchor + Ring as subscription engine · Defer Chest Band to Y2

Product	Y1 Target	India ASP	Channel Mix	Sub Attach	Strategic Role	Verdict
Watch	~350K (70%)	\$201	55% D2C (Amazon/Flipkart/pulsex.in) 35% Retail (Croma, Reliance Digital) 10% Gym bundles	30–35% PulseAI	Brand anchor. First-time buyer gateway. Drives volume, retailer relationships, and awareness at scale. Bundles 3-month PulseAI free trial at D2C checkout to seed subscription.	LAUNCH
Ring	~120K (24%)	\$158	70% D2C (guided digital onboarding) 30% Gym B2B (Cult.fit, Gold's Gym) No retail standalone	55–65% PulseAI	Subscription LTV engine. Highest retention and PulseAI attach. Gym partnerships solve standalone conversion gap through guided onboarding programs. Premium positioning reinforced.	LAUNCH
Chest Band	~30K (6%)	\$99	Hold — evaluate Y2 gym bundle integration No retail in Y1	~45% (est.)	Niche TAM. No guided onboarding ecosystem in Y1. Low volume scale prevents retail viability. Better positioned as Y2 gym add-on when gym network is established (50–80 centres).	DEFER Y2

VOLUME vs. SUBSCRIPTION TRADE-OFF

Watch maximises volume and brand reach but carries lower PulseAI sub attach (~30%). Ring maximises LTV and subscription margin (~60% attach) but requires guided onboarding to convert at scale. Mitigation: bundle 3-month PulseAI free trial with every Watch at D2C checkout to drive subscription seeding across both SKUs simultaneously.

04 | INDIA LAUNCH ROADMAP — GEOGRAPHIC ROLLOUT STRATEGY



PHASE 1 — Q1–Q2 FY26 Target: 300K units

Metro Priority (6 Cities)

- Mumbai, Delhi-NCR, Bengaluru + app launch
- Watch launch vi Croma, Reliance Digital (15–20 stores)
 - Ring exclusive D2C – premium, invite-only waitlist
 - 3–5 premium gym plot integrations (each metro)
 - Digital blitz: performance + influencer marketing

PHASE 2 — Q3–Q4 FY26 Target: 200K units

Tier 2 Expansion + Scale

- Expand retail to 50–80 stores nationally
- Introduce Ring to selective Tier 2 retail
- Scale gym partnerships to 40+ gyms
- Begin Chest Band pilot via gym-only channel
- Enterprise / corporate wellness B2B trials

INDIA MARKET DYNAMICS

-5% ASP Adjustment	\$40 ▲ CAC Per User	\$3M SetUp Cost	500K Device Demand
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Q2 — \$12M BUDGET ALLOCATION ACROSS ECOSYSTEM EXPANSION

Prioritised allocation | What PulseX invests vs. defers | Capital efficiency rationale

YEAR 1 BUDGET ALLOCATION — \$12M TOTAL		
\$3.0M 25%	Digital Acquisition & Brand-Building Performance marketing via Meta/Google, YouTube fitness influencer seeding, and pulsex.in D2C storefront development. India CPMs are structurally 40–60% lower than North America — enabling high-efficiency customer acquisition. Target: acquire first cohort at ≤\$40 blended CAC. Focus on urban metro audiences aged 25–40 with demonstrated health intent.	▶ Meta/Google performance spend, YouTube fitness influencers, pulsex.in storefront, retargeting funnels
\$2.8M 23%	AI Model Dev, Retraining & Compliance India-focused PulseAI retraining on local health data, with DPDP compliance, data localisation, BIS certification, and personalisation layer—non-negotiable as regulatory failure blocks GTM entirely.	▶ DPDP-compliant infra, India health data retraining (Month 3 start), BIS product certification, localised AI
\$2.5M 21%	Retail Expansion & Distribution Onboard 200–250 Tier 1 retailers (Croma, Reliance Digital, Vijay Sales) with strong in-store execution and 90-day support enabling trials for first-time buyers while avoiding Tier 2/3 in Year 1 due to weak brand pull and high returns.	▶ Select 250 Tier 1 stores only — resist Tier 2+ expansion in Y1. Retail staff training kits included.
\$2.0M 17%	Ecosystem Bets — Gyms & Enterprise Pilots 50–80 premium gym integrations (Cult.fit, Gold’s Gym, boutiques) with guided Ring onboarding, plus 3–5 corporate pilots—driving conversion, habit formation, and building PulseAI’s long-term data moat in India.	▶ Cult.fit / Gold’s Gym / boutique gyms for Ring. Enterprise pilots (Tata, Infosys campuses) for Band+data.
\$1.7M 14%	Manufacturing Localisation & Supply Chain PLI eligibility filing, vendor qualification, and tooling assessment—full localisation deferred until 1M+ units; at 500K, savings don’t justify capex. Y1 focuses on readiness for Y2–Y3 scale-up.	▶ PLI eligibility filing and vendor qualification only. Full capex deferred to Y2–Y3 at scale >1M units/yr.

WHAT NOT TO PRIORITISE IN YEAR 1 —AND WHY

Clear sequencing: defer what doesn't generate returns at 500K unit scale · Reinvest in Y2–Y3 when justified

Spend Area	Why Defer in Y1	Risk if Actioned	When to Revisit
✗ Full manufacturing localization (capex)	Low double-digit cost saving doesn't justify large upfront capex at 500K units. PLI exploration only.	Capex locked in; if demand is lower than 400K, ROI never materialises in Y1.	Y2–Y3 at scale >1M units/yr
✗ Tier 2 / Tier 3 retail expansion	High store onboarding cost per door. Insufficient brand pull in smaller markets without established D2C base.	Retailer inventory stuck; high return rates; brand damage in markets not ready for premium wearables.	Y2 once Tier 1 brand equity and sell-through proven
✗ Chest Band wide launch	Niche TAM + no guided onboarding ecosystem = poor standalone conversion without gym integration.	Inventory left at retail; high returns; weakens brand credibility in a segment with intent but no ecosystem.	Y2—bundled with gym partner rollout
✗ Enterprise wellness channels (at scale)	Long B2B sales cycles + high customisation cost. Valuable but not capital-efficient in Y1.	Distraction from core consumer GTM; enterprise team cost without sufficient data leverage.	3–5 pilots only in Y1; scale Y2–Y3 with 200K+ subscriber data asset
✗ National TV / OOH Brand Advertising	CAC too high relative to early cohort size (500K). Brand awareness insufficient to drive pull without confirmed D2C conversion rate and product-market fit. India CPMs on digital are 40–60% cheaper — far superior ROI for Y1.	Burns \$2–4M on impressions that don't convert without a proven D2C funnel. Brand recall wasted without product availability in Tier 2 markets. No measurability vs. performance channels.	Y2 — once D2C conversion rate proven (>3.5%) and 1st cohort NPS validated.

Prioritize capital efficiency over premature scale: Deferring high-CAPEX and low-ROI channels to protect Y1 margins and ensure a lean, D2C-first market

GTM CHANNEL ARCHITECTURE — HOW PULSEX GOES TO MARKET IN INDIA

Hybrid GTM: D2C primary + Gym B2B for Ring + selective Tier 1 retail · Telecom deferred to Y2

Factor	D2C Only	Retail	Telecom	Gym B2B	Hybrid ★
Margin protection	Full margin	~30% margin share	Shared revenue split	Band only (lower net)	Full D2C + selective
PulseAI onboarding	Direct at activation	Minimal in-store support	Dependent on telco systems	Gym demo + onboarding	At activation + gym guided
Speed to market	Fast	Fast to launch	Slow (6–9 mo)	Moderate (partner dep.)	Fast to market
Data ownership	100%	~Partial no behaviour	Shared (telco sees data)	~Shared (gym layer)	~90% owned
Ring/Watch fit	✓ High	✓ OK for Watch	✗ Poor fit	✓ Natural fit	✓ Best fit
India market fit	✓ High	✓ High (trial needed)	✗ Low Y1 readiness	✓ High (captive)	✓ Best fit

CH1

D2C Primary: Amazon.in + Flipkart + pulsex.in

SKU: Ring + Watch | Full margin preserved | 100% data ownership | PulseAI onboarding triggered at activation | ~55% Y1 volume target. Efficiency advantage: India CPMs are structurally 40–60% lower than North America. D2C also enables direct feedback loop for product iteration and cohort analysis.

CH2

Gym B2B Enterprise: Cult.fit / Gold's Gym / Boutiques

SKU: Band + Ring bundles. Gym = distribution channel + pre-qualified subscriber pipeline. Net margin \$32.66/device via gym vs \$57.56 D2C (lower but volume-accretive). Gyms solve Ring standalone conversion gap through guided onboarding and habit formation. ~25% Y1 volume. Seeded data moat.

CH3

Telecom API: Jio / Airtel — Year 2 Only

Requires DPDP-compliant infrastructure (built in Phase 1) + 100K+ subscribers for negotiating leverage. PulseAI API value to telco = health engagement data + churn reduction. Deferred — not capital efficient in Y1. Reopen negotiations in Q4 Y1 once subscriber base and compliance infra are established.

PULSEAI DATA MOAT — BUILDING A DEFENSIBLE FLYWHEEL OVER 2–3 YEARS

Launch: 'Predict, not track' positioning · Y2: Cross-device intelligence · Y3: Enterprise B2B data API

PULSEAI POSITIONING: 4 OPTIONS EVALUATED

✗ REJECTED

Performance Differentiator

Garmin/Whoop/Apple own this globally. Fighting incumbents on their strongest positioning = high CAC, low differentiation. TAM limited to 10–12M serious athletes in India. No AI defensibility vs. existing hardware spec wars.

★ LAUNCH

Preventive Health — 'Predict, not track'

Unoccupied positioning in India. Maps directly to all PulseAI sensor + AI capabilities. India digital health readiness = 0.72 (2nd globally). Urban TAM: 15–20M health-conscious consumers. Differentiates on AI depth, not hardware specs.

→ YEAR 2

Insurance Risk-Scoring Platform (IRDAI B2B)

IRDAI regulatory sandbox is a real enabling mechanism. Requires 200K+ subscriber data volume first. PulseX licenses anonymized risk scores to insurers via API — revenue additive to consumer subscription. High-margin B2B layer.

○ YEAR 3

Enterprise Analytics Engine

Gym chains, corporate wellness providers, healthcare systems. Requires B2B sales capability + population-level dataset (500K+). NA enterprise 10% revenue base provides commercial template for India scaling.

DATA MOAT NOTE

The moat is the AI model trained on longitudinal, simultaneous Band + Ring + Watch data from Indian users. A competitor starting today needs 2–4 years to accumulate comparable training volume. The switching cost for users = lost personalisation history and health predictions built over months. This is a time-based advantage — not permanent, but materially defensible through Y3.

36-MONTH DATA MOAT IMPLEMENTATION ROADMAP

YEAR 1: SEED	YEAR 2: COMPOUND	YEAR 3: MOAT
DPDP Act Compliance & BIS Certification (pre-launch)	Cross-device AI features (Watch + Ring intelligence layer)	Enterprise Analytics API launch (gym chains, HR platforms)
Watch + Ring D2C Launch (55% D2C + 35% Retail mix)	IRDAI Insurance B2B pilot (anonymized risk scoring API)	Full manufacturing localisation (PLI capex at 1M+ units)
50–80 gym B2B integrations (Cult.fit, Gold's Gym)	Tier 2 city retail expansion (brand equity proven)	B2B health data licensing at scale (population insights)
PulseAI India \$112/yr subscription launch	Chest Band launch via established gym channel	Market leadership consolidation — AI moat is 3–4 yr lead
India-specific AI model retraining starts Month 3	Telecom API partnership (Jio/Airtel) enabled by DPDP infra	Competitor data deficit: 2–4 years to build equivalent training set
Collect 200K+ longitudinal health profiles (Watch+Ring data)	250K+ subscriber data asset enables enterprise conversations	PulseX positioned as India's preventive health platform

APPENDIX

PULSEX — INDIA ROLLOUT PHASES

Source: PulseX India Launch Roadmap — Geographic Rollout Strategy (Slide 04)

PHASE 1 — Q1-Q2 FY26			Target: 300K Units
Initiative	Detail	Metric/Value	Notes
Focus Geography	Metro Priority	6 Cities	Mumbai, Delhi-NCR, Bengaluru + app launch
Watch Distribution	Retail Stores	15–20 stores	Via Croma, Reliance Digital
Ring Channel	D2C — Exclusive	Invite-only waitlist	Premium positioning strategy
Gym Integrations	Premium gyms per metro	3–5 per metro	Each of the 6 metro cities
Marketing	Digital Blitz	Performance + Infl.	Brand awareness & demand gen

PHASE 2 — Q3-Q4 FY26			Target: 200K Units
Initiative	Detail	Metric/Value	Notes
Retail Expansion	National Stores	50–80 stores	Expanded from Phase 1 base
Ring Distribution	Tier 2 Retail	Selective rollout	Expand beyond metros
Gym Partnerships	Nationwide gyms	40+ gyms	Scaled from Phase 1 pilot
Chest Band Pilot	Gym-only Channel	Pilot mode	New product introduction
Enterprise Sales	B2B Wellness Trials	Corporate channel	Enterprise / corporate wellness

YEAR 1 SUMMARY		
Metric	Value	Notes
Total Unit Target	500,000 units	Phase 1 + Phase 2
Gross Revenue Impact	~\$38M	Year 1 estimate
Break-even Timeline	Month 14	From launch date

PULSEX — INDIA MARKET DYNAMICS

Source: PulseX India Launch Roadmap — Geographic Rollout Strategy (Slide 04)

KPI	Value	Direction / Flag	Description / Notes
ASP Adjustment	-5%	▼ Negative	Average Selling Price reduced vs. base for India market
CAC Per User	\$40	▲ Positive	Customer Acquisition Cost per user; favorable vs. global avg
Setup Cost	\$3M	— Neutral	One-time infrastructure / market setup cost
Device Demand	500K	▲ Positive	Total Year 1 device demand target (units)

METRO CITIES — PHASE 1			
City	Region	Phase	Notes
Mumbai	West	Phase 1	Key metro — Watch + app launch hub
Delhi-NCR	North	Phase 1	Key metro — Watch + app launch hub
Bengaluru	South	Phase 1	Key metro — Watch + app launch hub
Hyderabad	South	Phase 1	Metro city in rollout map
Chennai	South	Phase 1	Metro city in rollout map

PULSEX — CAC & PAYBACK DEEP DIVE

Source: PulseX Slide 04 — Regional Data | All calculations derived from slide metrics

INPUT ASSUMPTIONS		
Assumption	Value	Notes
CAC Per User (\$)	\$40	Fixed India CAC
Total Year 1 Units	5,00,000	Phase 1+2 combined
Phase 1 Units	3,00,000	Q1–Q2 FY26
Phase 2 Units	2,00,000	Q3–Q4 FY26
Gross Revenue (\$M)	\$38.0	Year 1 gross
Break-even Month	14	From launch
Setup Cost (\$M)	\$3.0	One-time cost
ASP Adjustment (%)	-5%	India market discount

PULSEX — GLOBAL MARKET SIZING MODEL

CAGR data from slide heatmap | Revenue projections derived using India Year 1 as base case

Market	CAGR (%)	India Base (\$M)	Yr 1 Est (\$M)	Yr 2 Est (\$M)	Yr 3 Est (\$M)	3-Yr CAGR Check
India	22%	\$38.0	\$38.0	\$46.4	\$56.6	22.0%
SE Asia	19%	\$38.0	\$32.8	\$39.1	\$46.5	19.0%
Middle East	15%	\$38.0	\$25.9	\$29.8	\$34.3	15.0%
Europe	14%	\$38.0	\$24.2	\$27.6	\$31.4	14.0%
LatAm	13%	\$38.0	\$22.5	\$25.4	\$28.7	13.0%
TOTAL		\$190.0	\$143.4	\$168.2	\$197.4	

INDIA MARKET DOMINANCE METRICS	
Metric	Value
India Share of Total Yr1 Rev	26.5%
India vs SE Asia Rev Ratio	1.16x
India 3-Yr Revenue (\$M)	\$140.9
India CAGR Premium vs LatAm	9.0%
Highest CAGR Market	India
Lowest CAGR Market	LatAm

PULSEX — INDIA REGIONAL PERFORMANCE DATA

Source: PulseX India Launch Roadmap — Geographic Rollout Strategy (Slide 04)

Region	CAGR (%)	Net Contribution (\$M)	Net Margin (%)	AC Payback (Month)	HW Revenue (\$M)
North Region	25%	\$10.1	23%	4.8	\$40.5
West Region	24%	\$10.1	22%	4.5	\$40.5
West Region (alt label)	24%	\$9.8	22%	5.0	\$39.8
South Region	28%	\$11.2	24%	4.5	\$45.2
East Region	20%	\$7.0	19%	5.9	\$28.1
TOTAL / AVERAGE	24%	\$48.2	22%	4.9	194.1

CAGR HEATMAP — GLOBAL MARKETS			
Market	CAGR (%)	Market	CAGR (%)
India	22%	Europe	14%
SE Asia	19%	LatAm	13%

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THANK YOU!